EcoEnergy Corp: Global Sustainable Infrastructure & Technology

This presentation reviews our performance, focusing on key regional challenges and strategic opportunities for margin improvement.

Meet The Global Leadership Team

Niall Grainger

Lead Analyst, North America

Martinas Jucys-Brady

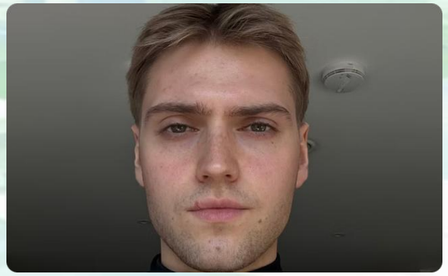
Lead Analyst, South America

Daniel Vala

Lead Analyst, Africa

Roisin Murphy

Lead Analyst, Europe



Aleksander Lupa

Lead Analyst, Asia

Agenda

1. Profitability
2. Regional Analysis
3. Our Solution

Profitability

1.

Profit Crisis

Revenue vs. Costs

€130.7M revenue

€139.1M costs

€8.46M net loss

Portfolio Risk

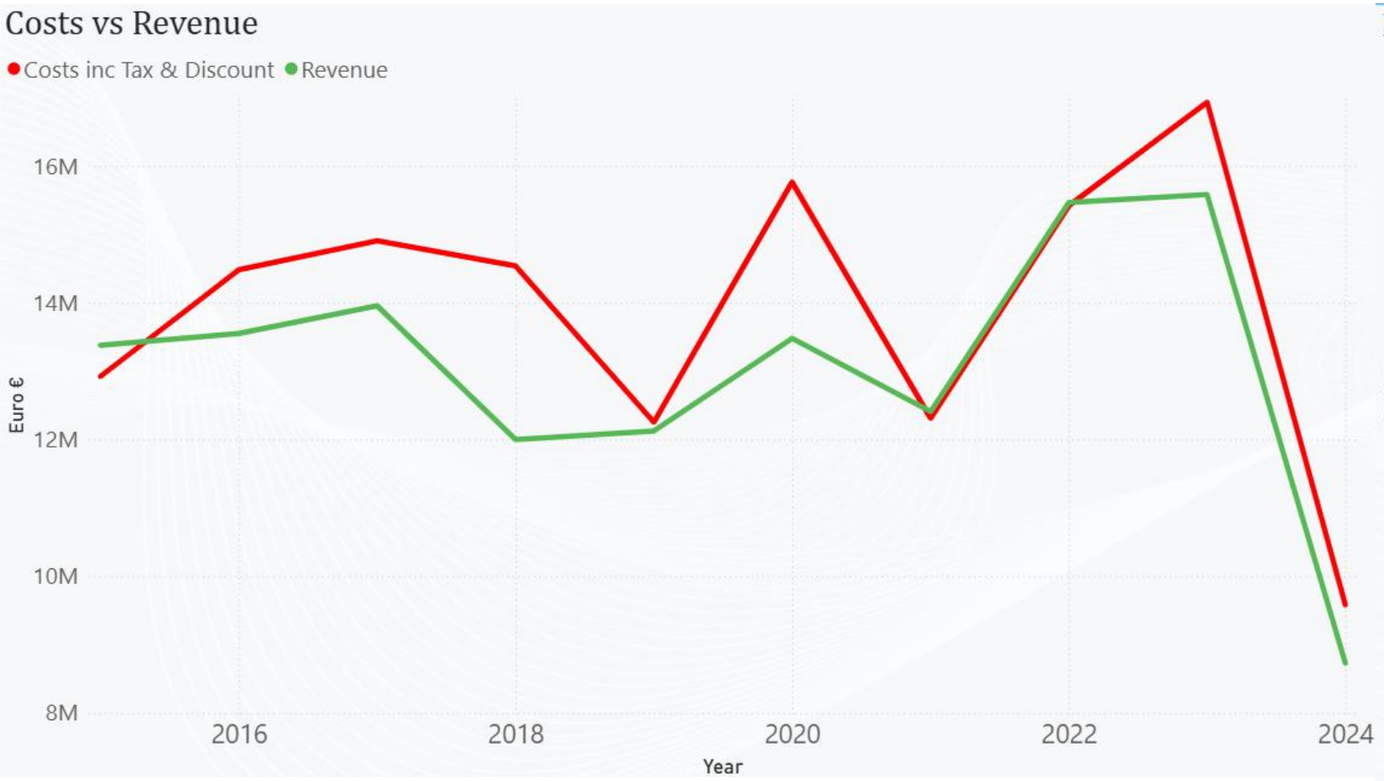
39% of products sold at a loss

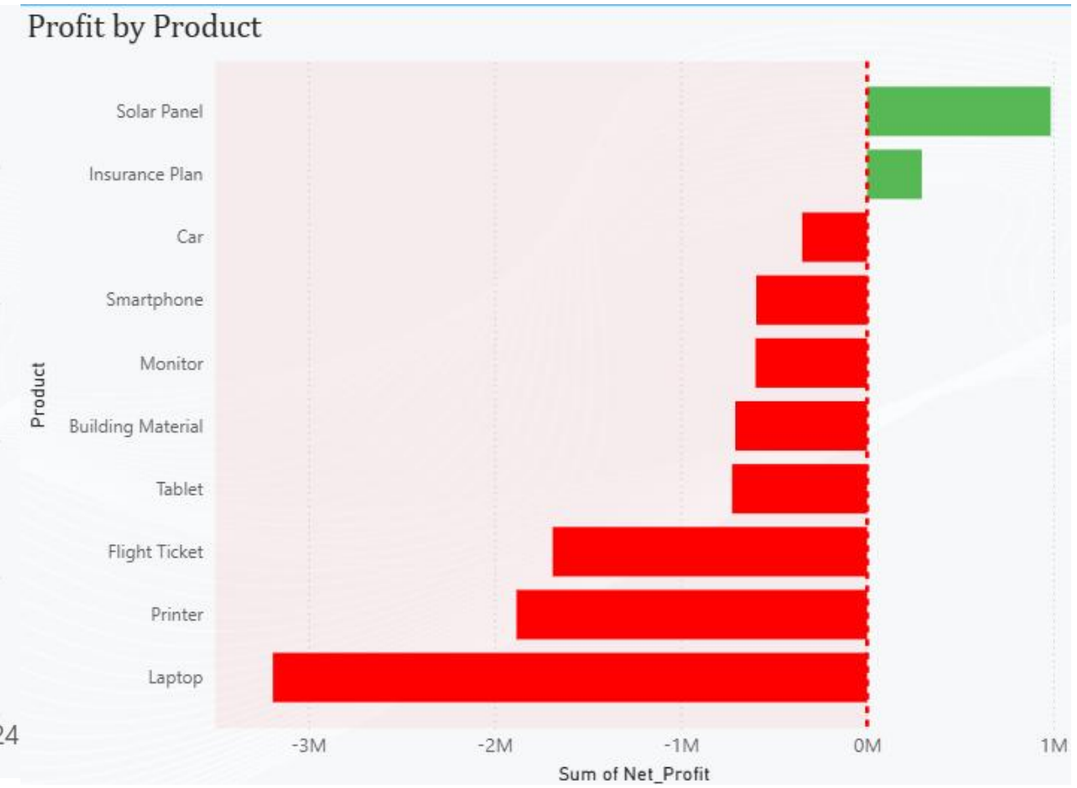
8 of 10 products were unprofitable

Bright Spots

Insurance plans and solar panels

Foundation exists for turnaround



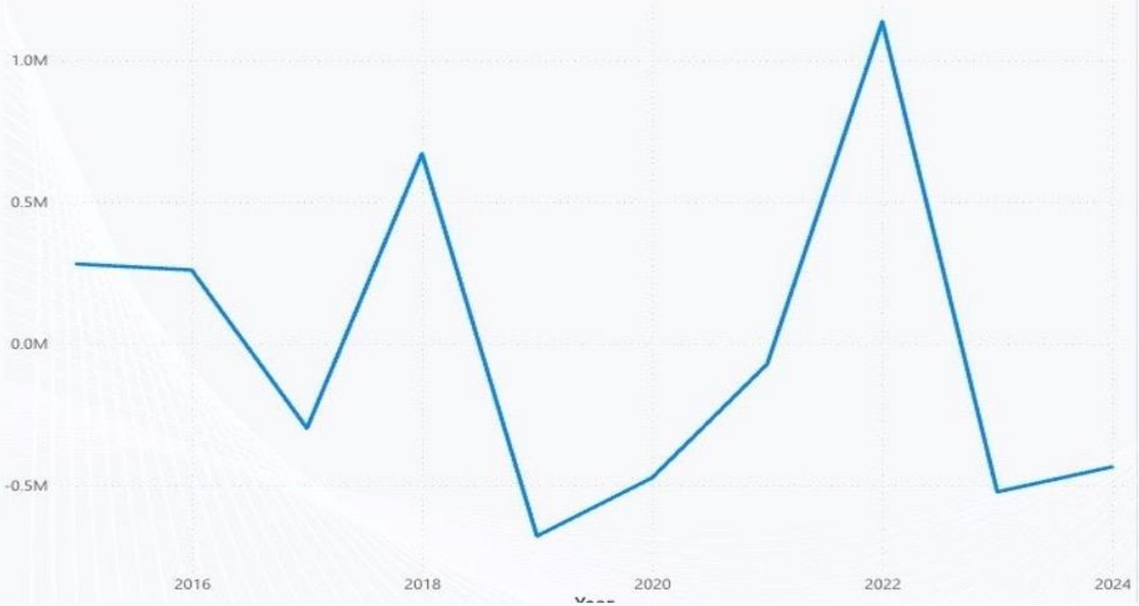


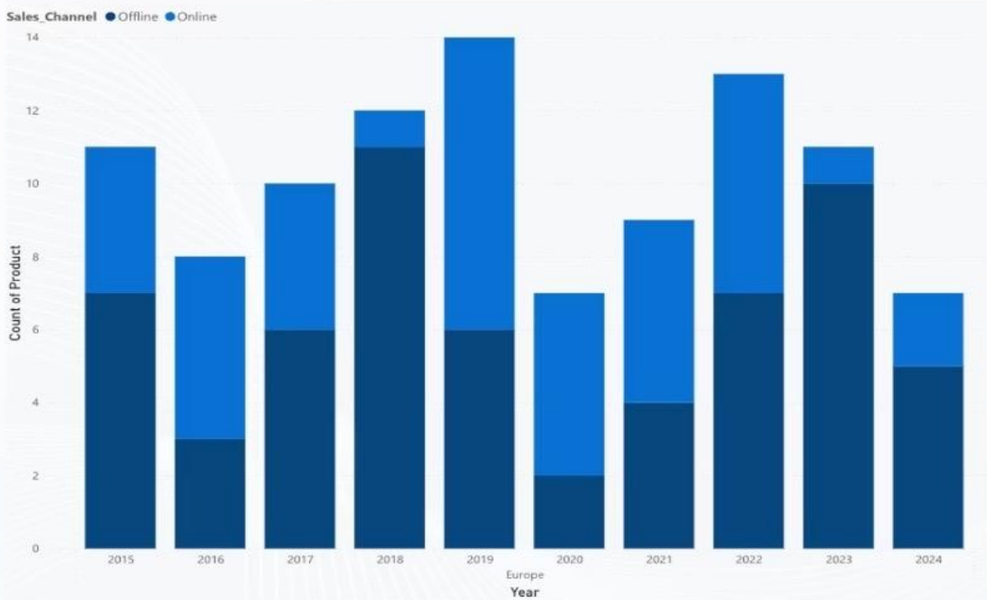
Regional Analysis

2.

Navigating Europe's Energy Market: A Decade of Volatility

EcoEnergy Corp's 10-year outlook in Europe has been characterised by significant profit swings, driven by fluctuating market dynamics and persistent cost challenges. While the pre-2019 period saw stability, recent years highlight the urgent need for strategic adjustment.





2015–2018

Period of profitability and stable market positioning.

2020–2021

Temporary profit surge due to a significant, yet brief, increase in online sales.

Post-2019

Rising costs and declining revenues lead to recurring operational losses.

2023

Margin compression due to high discount rates impacting overall results.

Strategic Roadmap: Stabilising Profitability and Growth

1

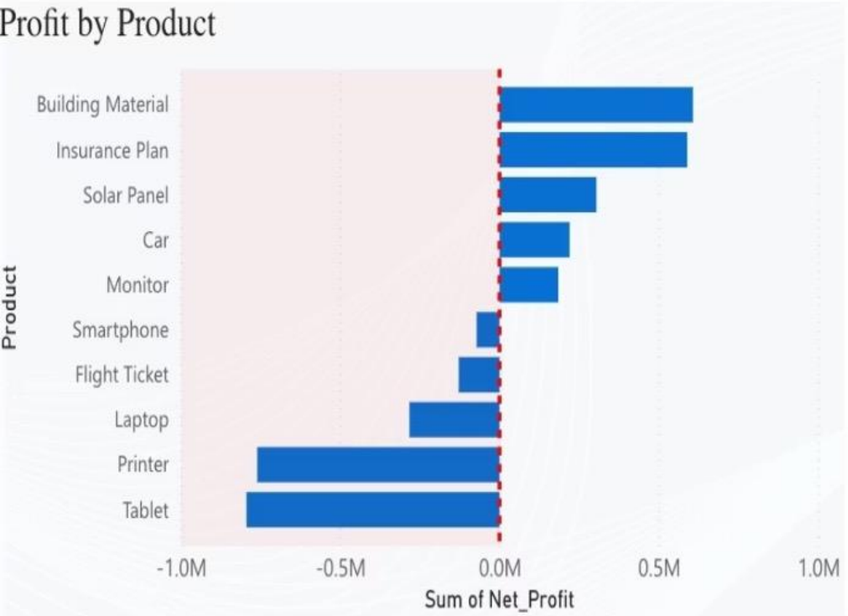
Product Portfolio Rationalisation

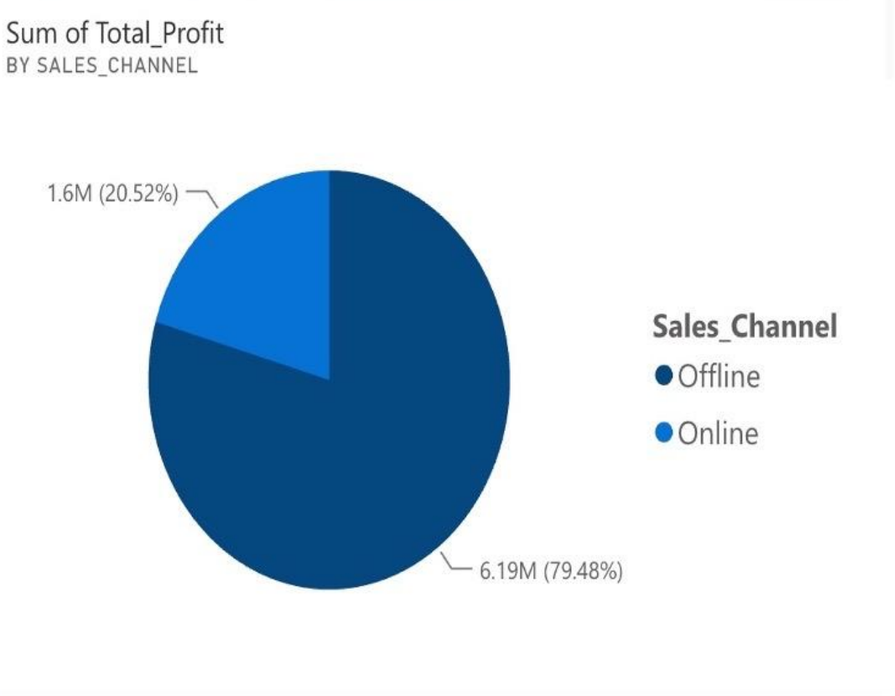
2

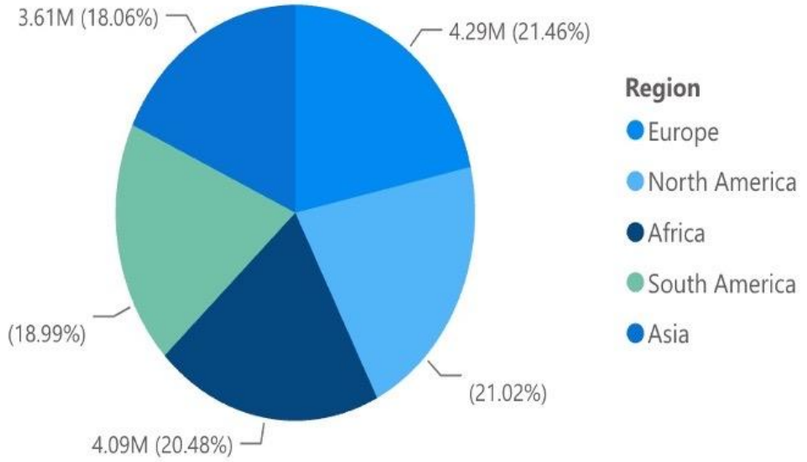
Establish Omnichannel Presence

3

Address Margin Compression







Asia Financial Overview: Revenue vs Profit Gap

€24.05M

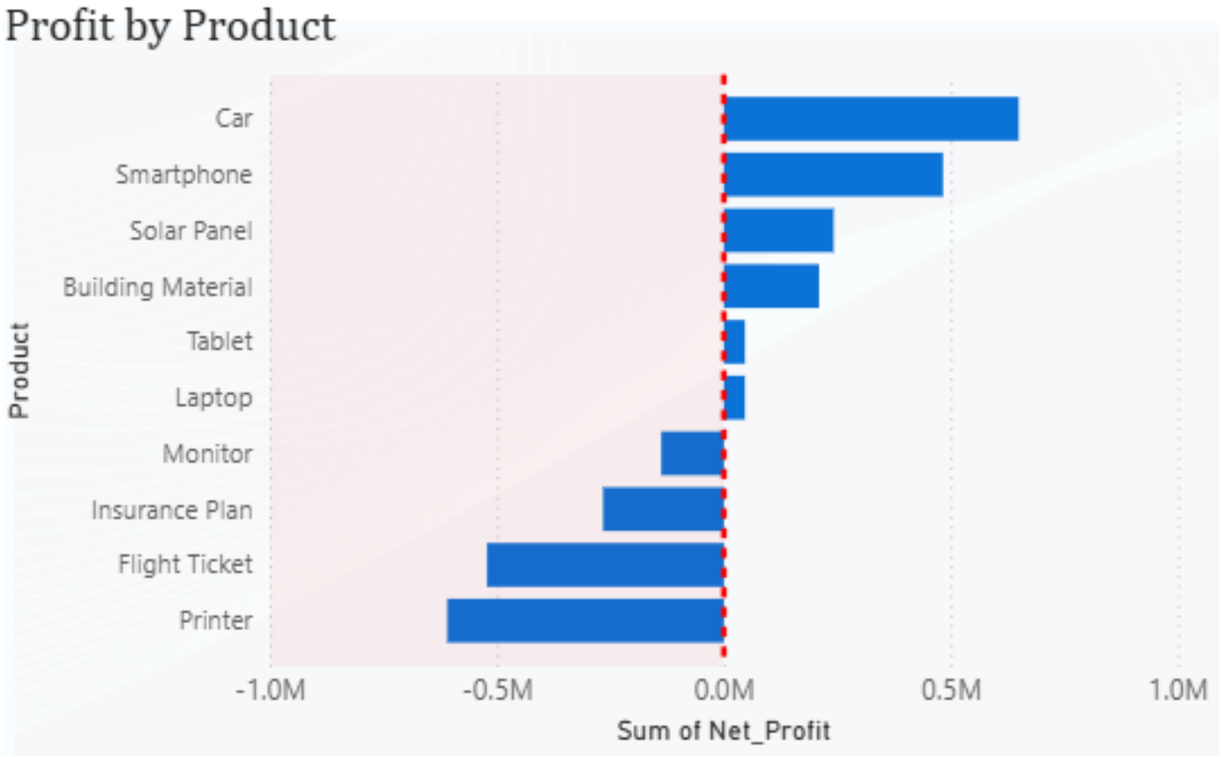
Total Revenue (10 years)

High revenue generation across the Asian market, reflecting strong market presence and sales volume.

€0.14M

Net Profit (10 years)

Minimal net profit indicates severe margin erosion despite significant revenue figures.



Asia: Profitable vs Loss-Making Periods

1

2015-2017

Profitable years driven by cars, solar panels and early technology products, with relatively disciplined portfolio and channel management.

2

2018-2023

Sustained loss-making period caused by aggressive discounting and the persistence of loss-making products (flight tickets, insurance, printers, some tech devices).

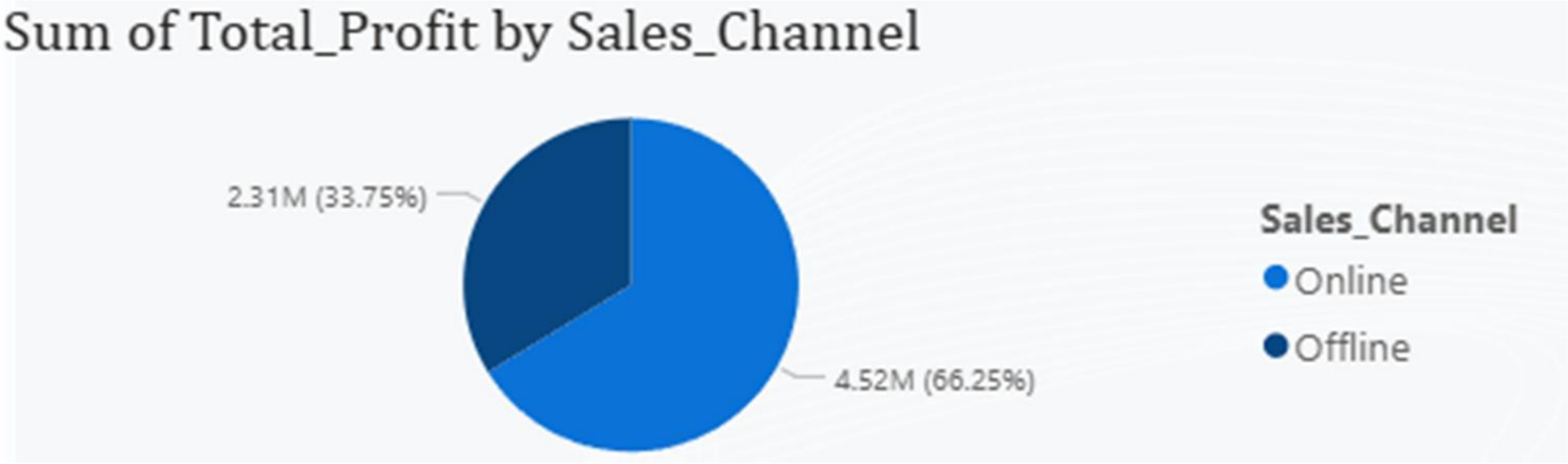
3

2024

Return to profit, reflecting a tighter technology-focused portfolio, better margin control and a more balanced online/offline mix.

Online Channel Challenge: High Volume, Low Margin

Online channels dominate sales, but deep discounting offsets the region's cost advantages. This leads to lowest global production costs being undermined by pricing strategies.



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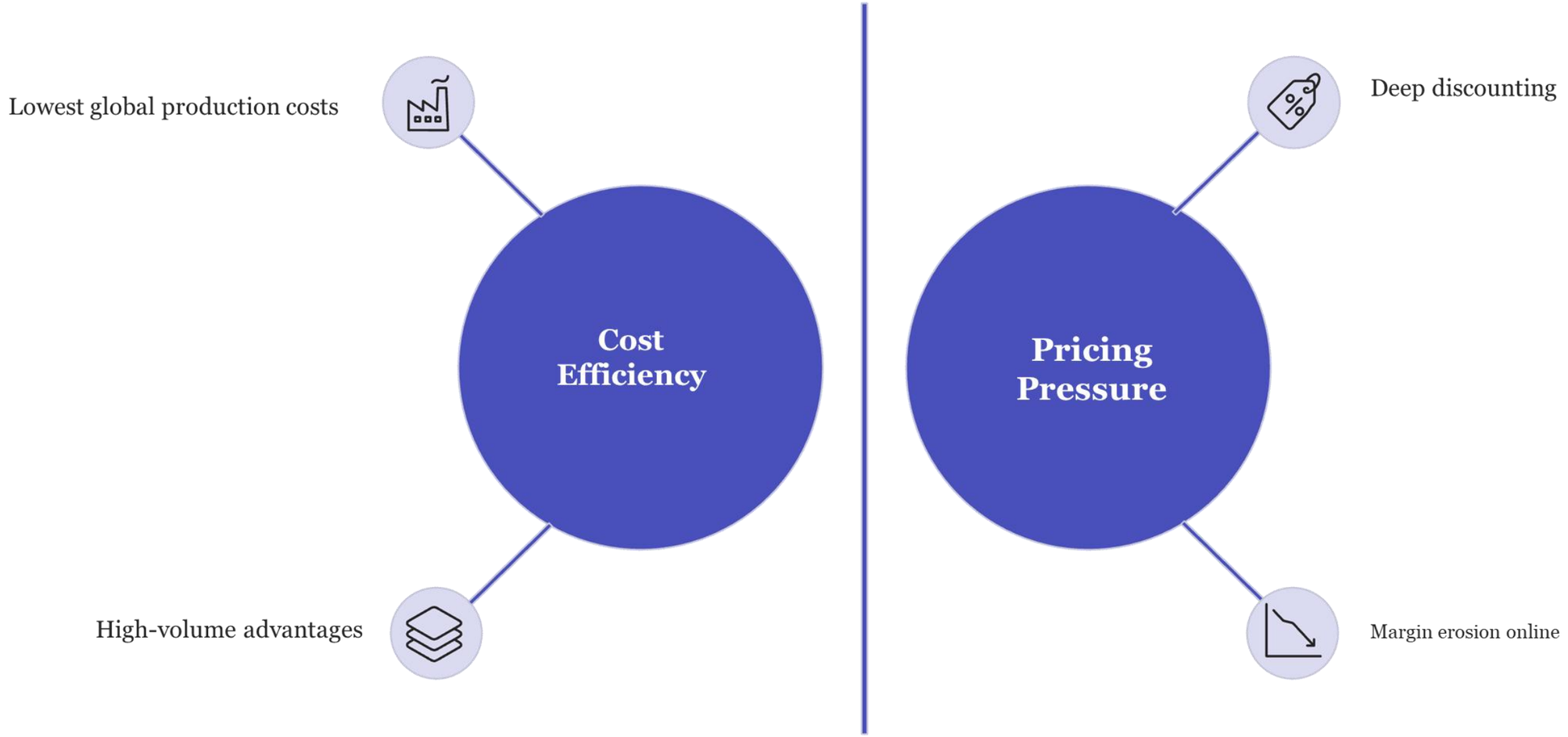
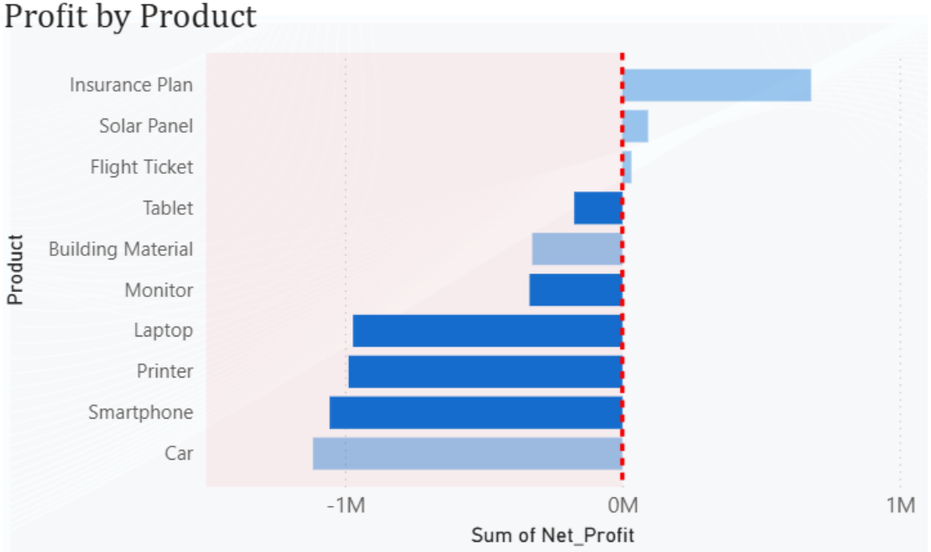
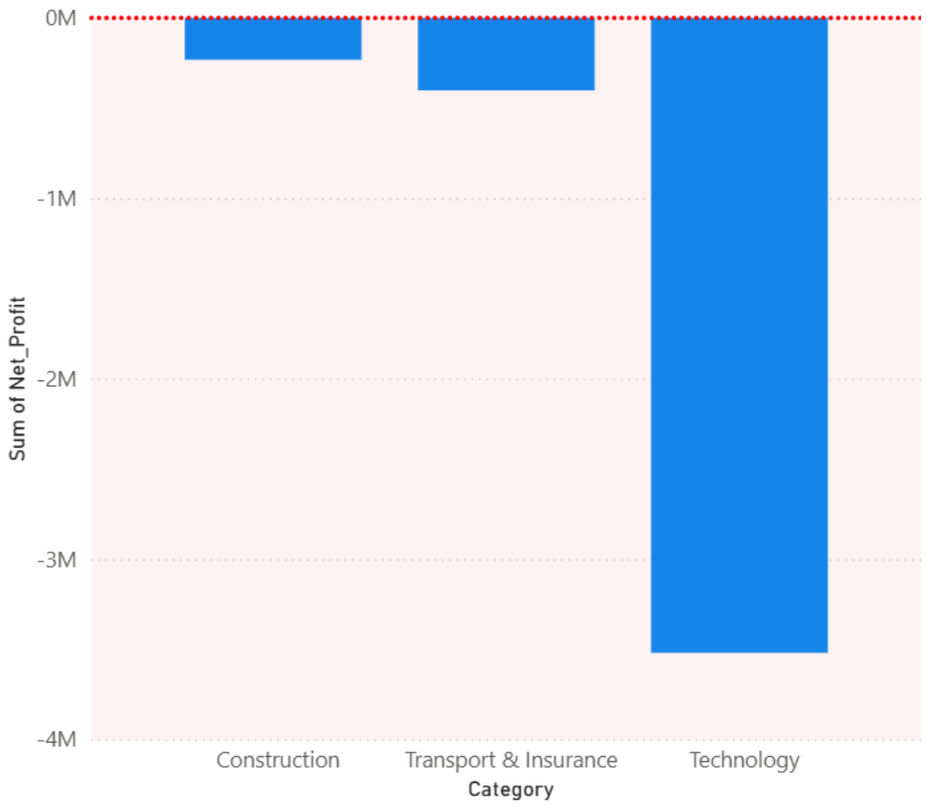


Profit by Product



Net Profit by Industry



North America: Significant Profitability Erosion

Widespread Unprofitability

7 out of 10 products are currently posting negative net profits, indicating a systemic issue.

Substantial Financial Losses

Total losses for the region amount to **€4.15 million**, driven by underperforming product lines.

Key Sector Underperformance

Technology, Transport, and Insurance sectors show significant negative margins, impacting overall regional profitability.

Pricing Problems
Below-Cost Sales & Heavy Discounting

Heavy Discounting

An average discount rate of **16%** across all products severely impacts gross margins, undermining efforts to achieve profitability.

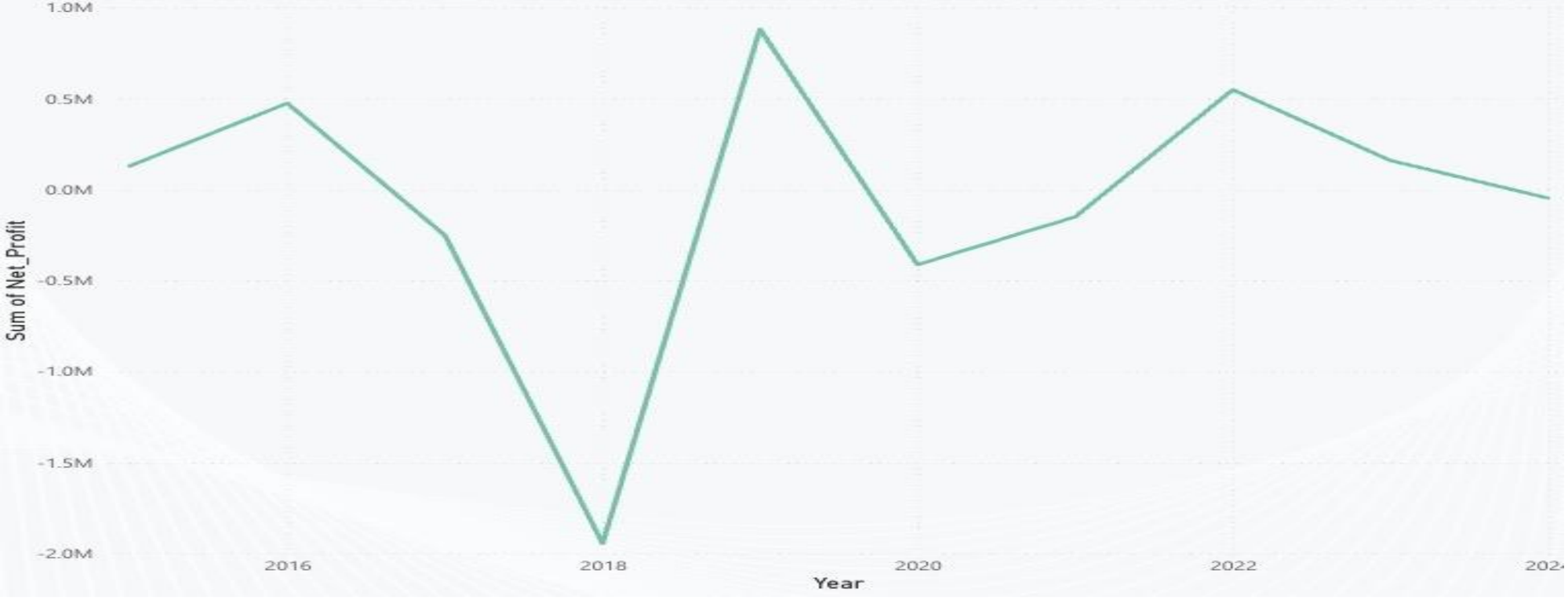
Below-Cost Sales

Several key product lines are consistently sold below their production cost, leading to guaranteed losses:

- Printers
- Cars
- Smartphones
- Laptops

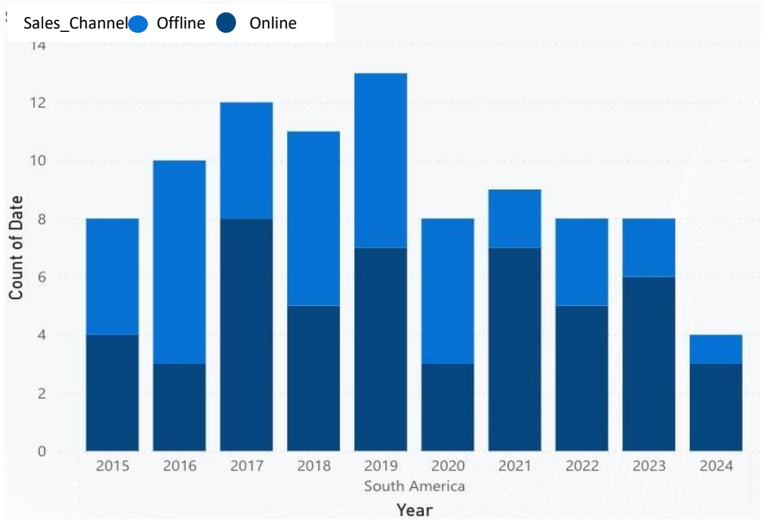
South America Financial Overview

€25.35M	€25.95M	- €607.54K
Total Revenue (10 years)	Total Costs (10 years)	Net Loss (10 years)

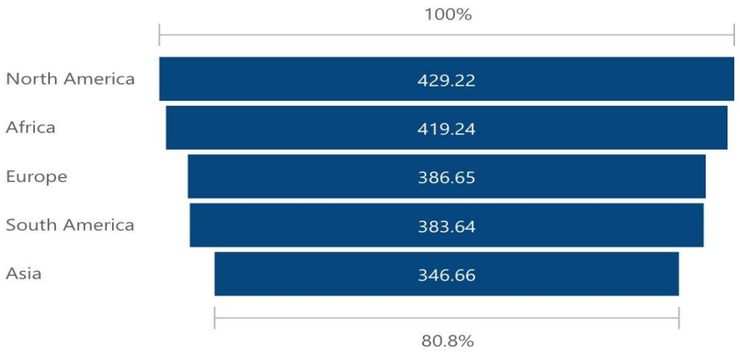


South America: A Strategic Hub for Sustainable Growth

South America has emerged as EcoEnergy Corp's most dependable region, consistently delivering low-cost, high-quality production, particularly for renewable energy technology and essential components.



Median Unit Cost by Region



Performance Breakdown: High-Profit Lines vs. Dragging Products

While certain product lines demonstrate robust and consistent profitability, others are significantly diluting the overall regional advantage.

Key Profit Drivers (2021-2024)

- Consistent profitability aligns directly with rising regional sustainability initiatives.
- Products like **Smartphones, Printers, Building Materials, and Solar Panels** are highly effective and reliable revenue streams.

Areas of Concern

- Significant losses observed in **Car and Insurance products**, which are not core to the EcoEnergy mandate.
- Overall profit is reduced by high offline operational costs and excessive product discounting.

Africa Financial Overview: Revenue vs Profit Gap

€25.17M

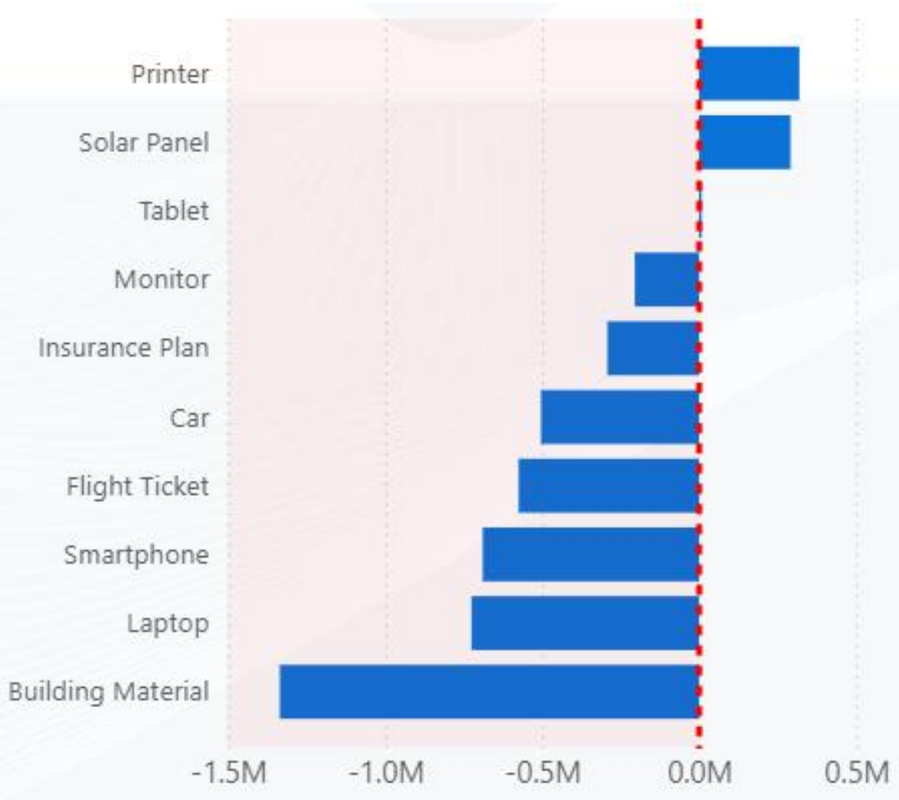
Total Revenue (10 years)

- €3.7M

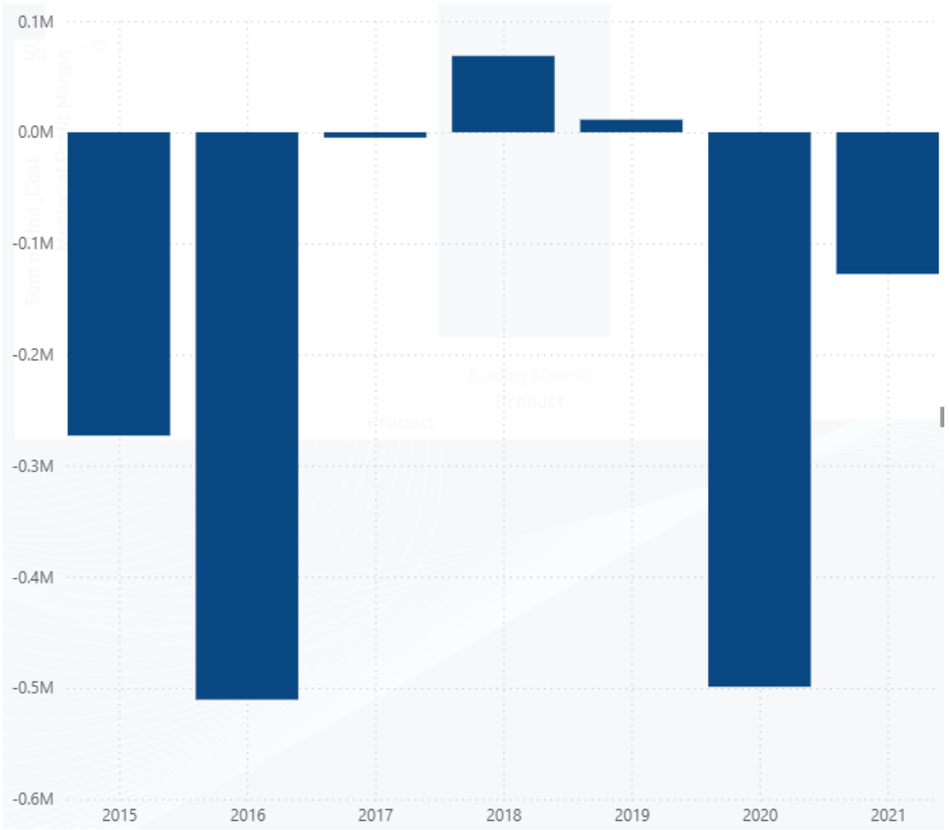
Net Loss (10 years)

High accumulated loss shows alarming need for change in company's activities in African market

Africa - Product Performance

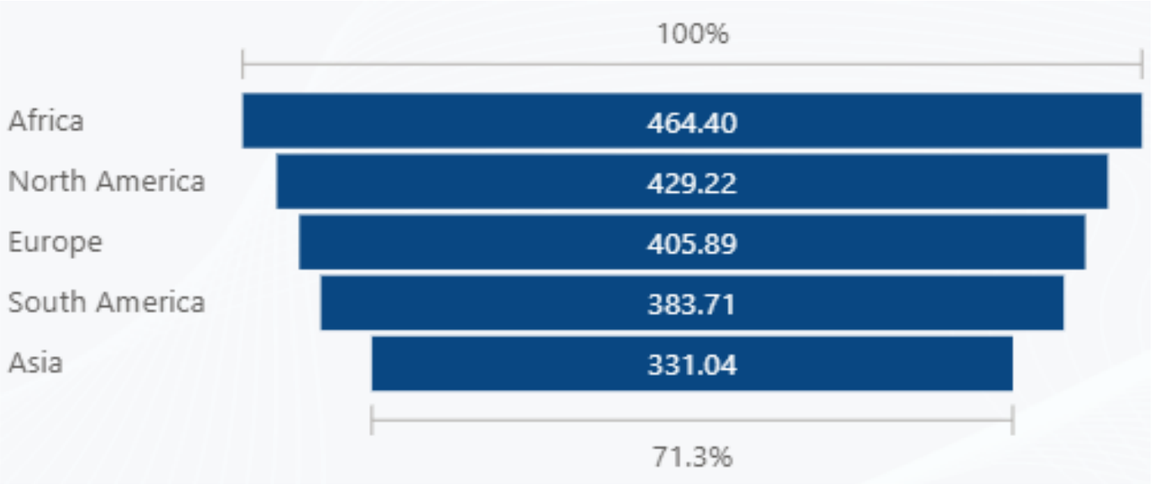


The only profitable products are Printers and Solar Panels, which have turned profitable only in recent years

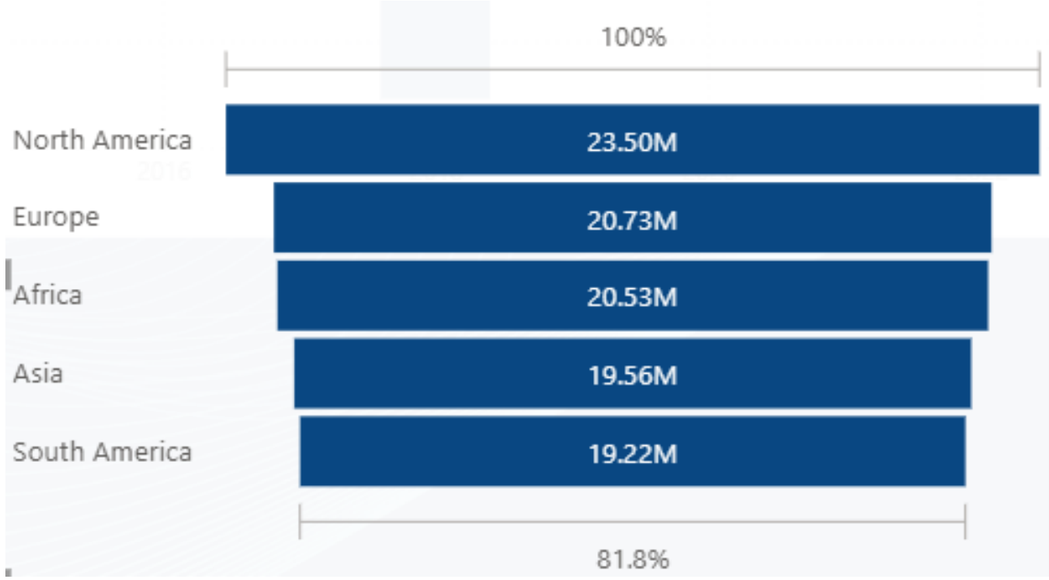


Building materials have been consistently unprofitable over the past 7 years

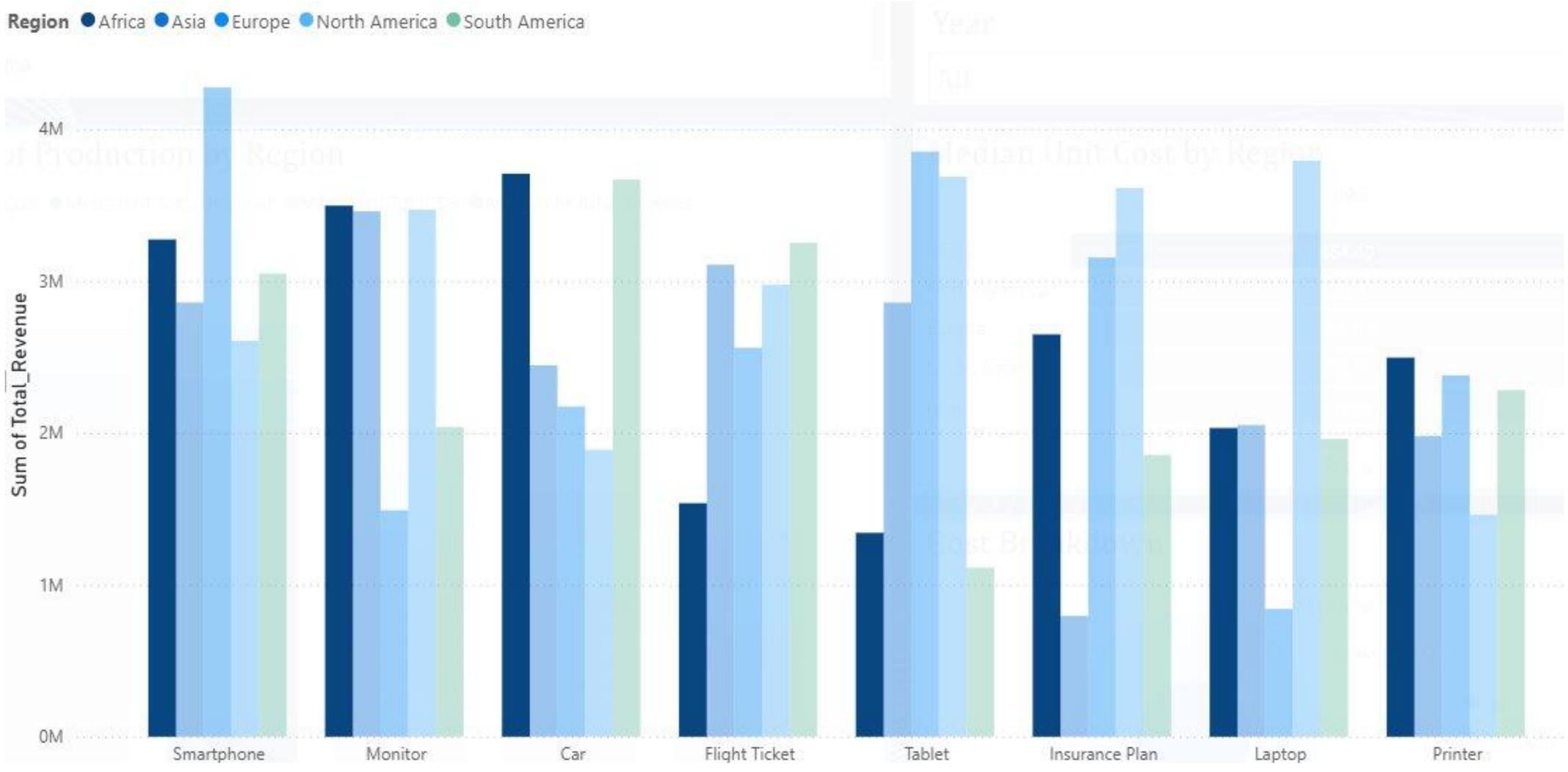
Africa's main loss driver: High costs



A comparison of unit costs in the Technology and Transport & Insurance sectors shows that Africa is the costliest region



Sales are around the average compared to other regions



Smartphones, Monitors, and Cars have high sales compared to other regions – showing strong potential if costs are managed better

Our Solution

3.

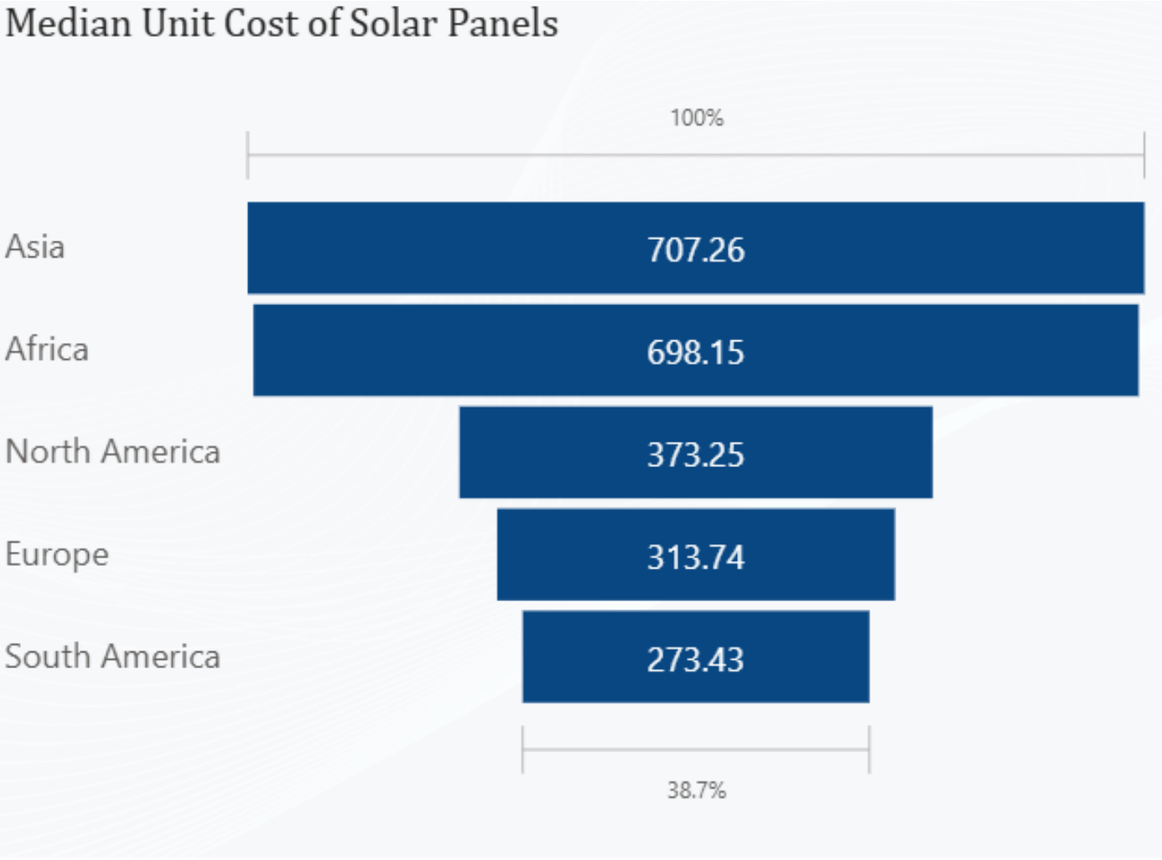
Outsourcing Production

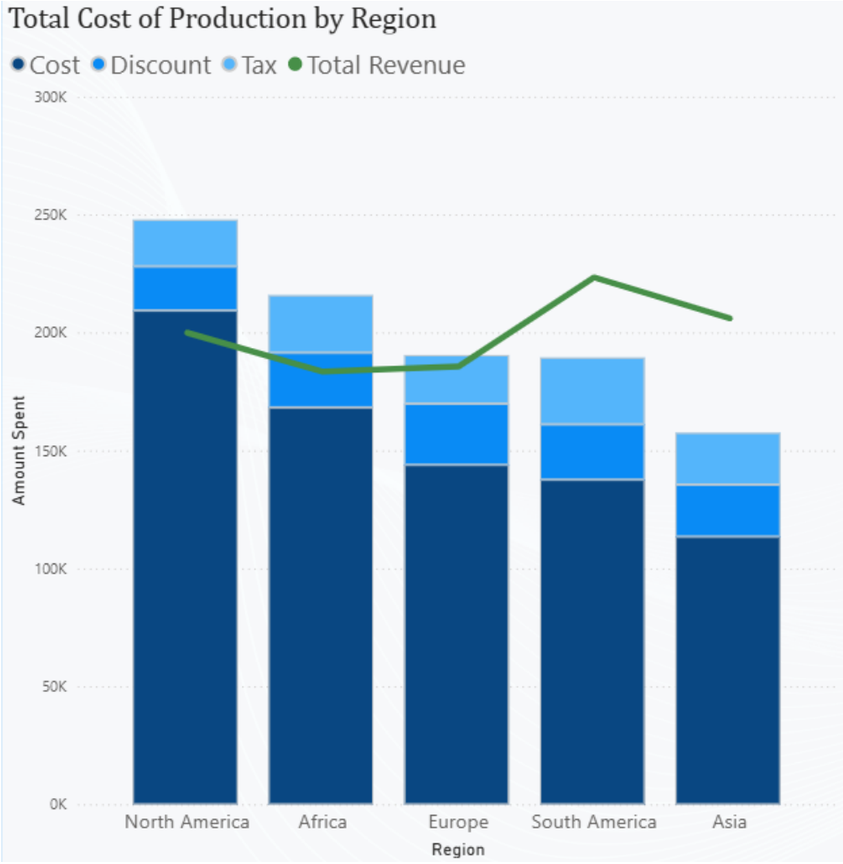
€

Cost Breakdown

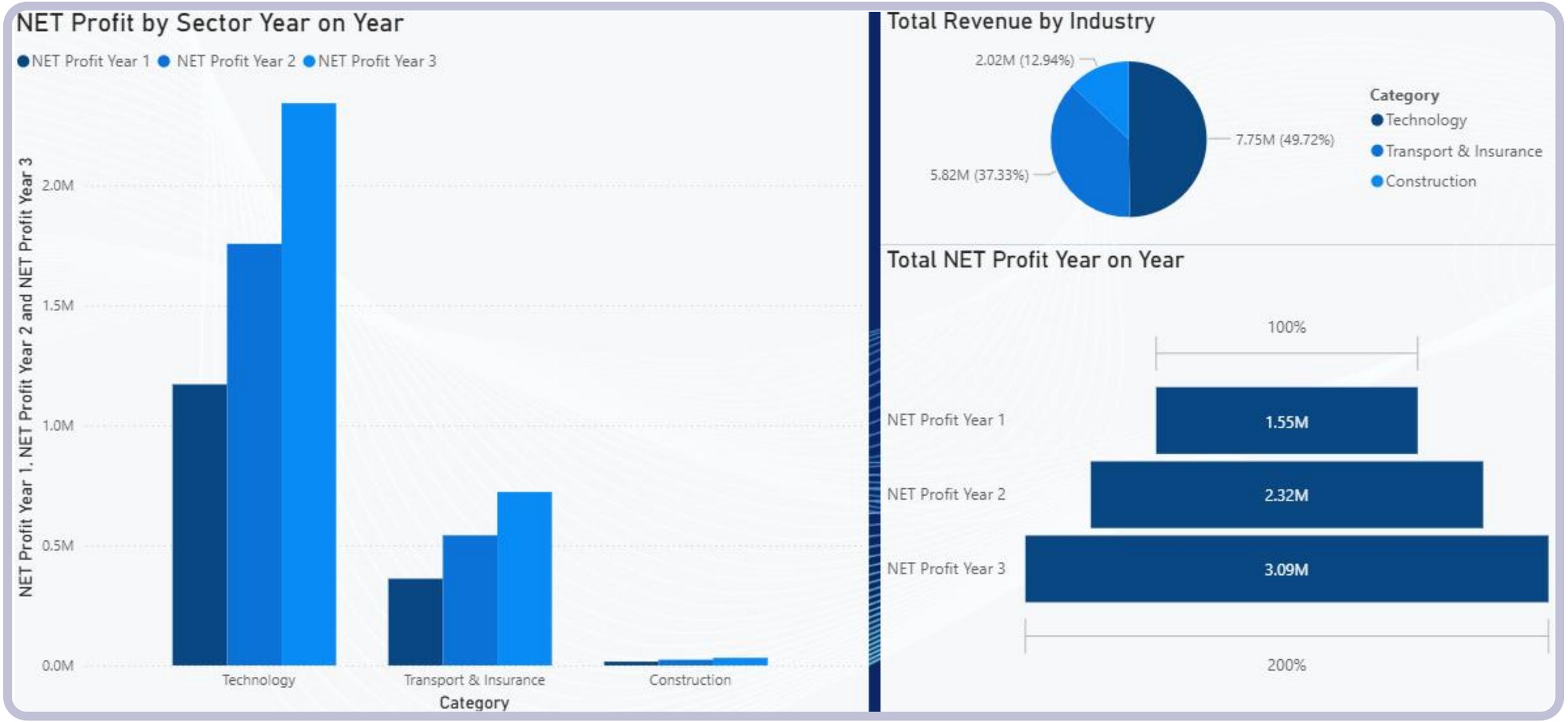
Industry Specialists

Global Production Hubs





Predictive Analysis: 3 Year Forecast



Green Identity in Global Expansion

Supplier Audits

Strict environmental controls across all operations

Renewable Energy

100% renewable power for manufacturing

Transparency

Regular emissions progress reporting

Thank You for Listening